

Aging and People with Disabilities**Number: APD-PT-25-021**

Authorized by: Jane-ellen Weidanz

Issue date: 12/5/2025

Subject: Program of All-inclusive Care for the Elderly (PACE) participant liability

Transmitting (check the box that best applies)

- | | | | |
|--|---|---|---|
| ☐ New policy | ☒ Policy change | ☐ Policy clarification | ☐ Executive letter |
| ☐ Administrative Rule | ☐ Manual update | ☐ Other: | |

Applies to (check all that apply):

- | | |
|--|--|
| ☐ All ODHS employees | ☐ County DD Program Managers |
| ☒ Aging and People with Disabilities | ☐ Developmental Disabilities Services |
| ☒ Area Agencies on Aging: -- Type B -- | ☐ Self-Sufficiency Programs |
| ☐ Child Welfare Division | ☐ Support Service Brokerage Directors |
| ☐ Children's Intensive In Home Services | ☐ Stabilization and Crisis Unit |
| ☐ Children's Residential Services | ☐ Other (please specify): Enter Text |

Policy/rule title: Reinstate liability obligation for PACE**Policy/rule numbers:** [APD-PT-21-042](#); OAR 461-160-0610; 461-160-0620; 461-185-0050**Release number:****Effective date:** January 01, 2026**Expiration date:****References:****Web address:****Discussion/interpretation**

Due to mandatory Federal regulations, Oregon Department of Human Services – Aging and People with Disabilities (ODHS-APD) is required to reinstate the liability payment obligation, effective **January 01, 2026**, to individuals enrolled in PACE (Program of All-inclusive Care for the Elderly) and who reside in a community-based care (CBC) facility (adult foster home, assisted living, memory care facility, residential care facility) or a nursing facility (NF). Individuals receiving PACE services in their home **are not required** to pay a monthly liability payment.

This transmittal changes the previous policy [APD-PT-21-042](#) that states PACE participants are not required to pay a monthly liability payment.

Implementation/transition instructions

PACE organizations will be responsible for managing the liability payments. Local ODHS offices **should not** process liability payments received from PACE participants. The Office of Financial Services (OFS) **will not** process liability payments from PACE participants. Any liability payments received from PACE participants should be returned to the participant with instructions to contact the PACE organization for information regarding where they should send the monthly liability payment.

Important:

- Room and board payments should continue to be paid to the CBC provider.
- There is no liability requirement for PACE participants in 2025.

When a PACE participant fails to make liability payments, they may be disenrolled from PACE and set up with APD long-term services and supports (LTSS) to receive their care. All eligibility rules regarding non-payment of liability will apply while receiving APD-LTSS.

When a participant receives PACE services in their home and moves into a CBC or NF, the liability may be waived for the initial month of placement (OAR [461-160-0610](#)).

Participants will receive a letter about this change. A copy of the letter is provided at the end of this transmittal.

Local/branch action required

Staff who manage PACE cases should:

- Ensure the CA/PS is up to date with the correct PACE benefit type (PACE – In Home; PACE – Residential; PACE – Nursing Facility).
 - **REMINDER:** DO NOT create a 512 or a POC in MMIS for PACE participants.
- Complete assessments timely and update CA/PS as soon as PACE enrollment begins. Submit extension requests, if necessary, providing enough time for processing to avoid loss of benefits to the participant.
- Review ONE or MMIS to ensure the liability amount is correct. ONE will send notification to the participant once the liability is calculated. Instructions on how to view the liability

in ONE can be found on the Case Management Tools page on the ONE System page, under the Medicaid Financial Eligibility and LTC/ONE Training [session 5](#).

- The liability notices will begin issuing in mid-December for January liability. Please note that ONE will initially issue a liability notice based upon 2025 income. However, an additional liability notice (or notices) will be issued, with the latest reflecting the liability amount owed, based upon 2026 income. Participants will need to utilize the latest notice that is received.
- As new individuals enroll in PACE, staff will need to inform them of the monthly liability requirement. When an individual already residing in a CBC or NF setting enrolls in PACE, if requested, staff may send a copy of the current 512 document or liability notice to the PACE organization.

Central office action required

- Central Office will send a letter to current PACE participants, notifying them of the change in policy and who will be affected by this change.
- Changes will be made to the ONE system to allow the liability calculation for PACE participants residing in a CBC or nursing facility. PACE participants receiving care in their home **will not** be required to pay a liability and therefore should not receive a liability notice.
 - The changes in ONE are expected to be completed by 12/10/2025. ONE will show the calculation using 2025 income until the 2026 COLA updates are computed in ONE.
- Central Office will send a monthly report to the PACE organization showing who has a liability and the liability amount.
- Updates to transmittal [APD-PT-21-042](#) will be made and published.
- Update OAR [461-160-0610](#)
- Central Office staff will provide technical assistance when needed.

Reviewed by impacted parties? ☒ Yes ☐ No

If yes, reviewed by: PACE organization; Central Office Compliance & Regulatory review team

Filing instructions:

If you have any questions, please contact:

Contact(s): Lisa Bouchell (lisa.bouchell@odhs.oregon.gov)

Cindy Susee (cynthia.susee@odhs.oregon.gov)

Email: APD.PACE@odhs.oregon.gov

****Letter being sent to PACE participants****

Dear PACE participant,

We want to let you know about an important change coming soon.

If you live in a nursing facility (NF) or a community-based care (CBC) facility (assisted living, residential care, adult foster home, or memory care facility), you may be responsible for paying a monthly amount for your care.

People who get in-home services **are not** affected by this change.

What is changing?

- In the past, Oregon did not collect this monthly amount (called a “liability amount”) for people in NF or CBC settings while enrolled in PACE (Program of All-inclusive Care for the Elderly).
- Due to mandatory Federal regulations, the State is required to reinstate the liability payment obligation to participants living in a CBC facility and nursing facility – effective **January 01, 2026**.
- You will make your liability payment directly to the CBC or NF provider. **Do not** pay/send the monthly payment to the State or to any local ODHS office and AAA office.

NOTE: You will still pay the room and board amount to the facility provider if you live in assisted living, memory care facility, residential care facility, or an adult foster home.

What will I owe?

Your monthly amount is based on your gross income and allowable deductions. The State’s eligibility system figures it out using rules that apply to long-term services and supports. If it finds that you need to pay something, you will get a separate notice that shows the amount you owe. You may get two or more notice about what you owe. The latest notice that you receive will reflect your income for 2026, so this should be used to know how much liability is owed.

Example of the liability calculation for someone living in a CBC facility:

\$1,200 (Gross monthly income)
-\$967 (personal needs and room and board costs)
=\$233 (Estimated monthly liability amount)

Example of the liability calculation for someone living in a nursing facility:

\$1,200 (Gross monthly income)
-\$79.07 (personal needs)
=\$1,120.93 (Estimated monthly liability amount)

Note: These are examples. Your payment amount will be different based on your gross income and allowable deductions.

Who will bill me? How do I pay?

- You will make your liability payment directly to the CBC or NF provider.

What if I get services in my own home?

- If you receive in-home services, you **are not** affected. You will not be asked to pay a monthly liability amount.

What if paying this monthly amount will be hard for me?

- Please call the PACE organization or your case manager. They can explain your options and provide resources.

Questions?

- Call your PACE center or the PACE organization main number: Providence PACE 503-215-6556 or North Coast 503-717-7150
- Call your case manager

We're here to help.

Sincerely,

Oregon Department of Human Services – Aging & People with Disabilities

Need this document in another format?

You can get this letter in other languages, large print, braille, or a format you prefer for free.

Contact ODHS at apd.ltss@odhsoha.oregon.gov or at

503-945-5600 (voice/text). We accept all relay calls.